T-12 OPERATING STATEMENT

Lantern Onyx Tower | Sacramento, CA

Property	Lantern Onyx Tower
Period Ending	June 2, 2024
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	86,994 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	173,158	186,668	189,169	190,126	192,790	173,580	187,809	175,825	169,249	171,665	187,309	169,092	2,166,440
4010 Loss to Lease	51,257	52,040	54,581	51,184	54,905	55,785	57,216	56,538	55,331	56,378	54,593	51,411	651,219
4020 Vacancy Loss	138,997	130,171	140,592	128,167	126,058	140,543	127,545	138,903	130,961	128,479	132,429	142,305	1,605,150
4030 Concessions	142,880	139,940	154,318	151,729	142,751	157,657	157,698	141,089	139,938	150,378	144,551	141,576	1,764,505
4040 Bad Debt	22,270	20,917	21,754	21,176	23,495	22,052	22,920	21,601	23,086	21,437	23,588	21,792	266,088
4050 Late Fees	142,136	148,798	150,191	140,094	138,692	142,092	137,124	134,843	141,114	137,236	145,545	150,238	1,708,102
4060 Utility Reimbursements	100,315	96,803	105,399	103,007	99,903	104,567	93,848	94,274	101,090	106,321	95,271	96,870	1,197,669
4070 Parking Income	89,026	83,895	92,190	92,674	91,465	84,433	85,250	87,017	91,718	87,629	91,514	85,977	1,062,787
4080 Application Fees	75,401	71,265	75,475	68,824	68,062	68,116	72,045	74,067	72,755	75,619	71,607	68,667	861,904
4090 Pet Rent	115,468	111,541	106,148	113,016	108,006	110,292	111,456	105,813	110,127	116,118	106,243	107,683	1,321,911
4100 Laundry Income	38,135	35,700	34,142	36,530	38,412	37,236	36,396	33,927	34,445	38,138	34,079	36,567	433,708
4110 Cable/Internet Revenue	117,329	127,548	125,066	126,340	131,883	129,914	124,206	117,609	126,469	132,131	127,088	120,172	1,505,756
4120 CAM Reimbursements	56,326	57,875	54,213	53,546	58,717	54,774	56,490	52,445	53,279	57,400	51,456	57,791	664,312
4130 Tax Reimbursements	79,383	79,633	86,398	81,769	83,617	82,787	78,227	87,473	81,580	86,542	81,373	79,032	987,813
4140 Insurance Reimbursemen	15,390	15,551	14,733	16,521	15,126	16,463	16,606	16,161	15,595	16,151	15,228	16,809	190,335
4150 Percentage Rent	148,969	156,468	161,718	150,922	163,244	158,586	165,956	154,473	152,374	166,649	156,875	167,419	1,903,653
4160 Misc. Income	122,580	122,609	123,189	119,791	119,073	113,875	122,294	117,748	113,901	114,089	127,905	121,178	1,438,234
4170 Payroll - Management	5,657	5,275	5,421	5,908	5,893	5,494	5,939	5,751	5,749	5,640	5,391	5,773	67,891
4180 Payroll - Leasing	7,570	7,777	8,281	8,056	7,507	8,356	8,384	7,661	7,831	8,247	8,500	7,646	95,816
4190 Payroll - Maintenance	3,744	3,576	3,301	3,623	3,717	3,481	3,394	3,641	3,613	3,450	3,396	3,750	42,686
4200 Payroll Taxes & Benefits	6,686	7,242	6,881	7,301	6,680	7,207	6,985	7,005	6,739	6,670	7,377	6,744	83,517
4210 Repairs - Plumbing	7,004	6,540	6,280	6,845	6,878	6,366	7,095	6,324	6,447	6,629	6,415	7,141	79,963
4220 Repairs - HVAC	8,564	9,108	8,480	8,457	9,005	8,983	9,025	9,220	8,461	8,906	8,381	8,713	105,304
4230 Repairs - Electrical	19,165	19,056	18,883	17,803	19,130	19,527	18,583	19,398	19,418	18,645	18,110	17,339	225,055
4240 Repairs - Appliances	21,319	20,555	20,742	21,391	19,679	19,068	20,892	20,888	20,036	20,650	19,934	18,760	243,914

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	7,823	7,792	7,771	7,128	7,758	7,473	6,957	7,784	7,611	7,148	6,823	7,104	89,173
4480 Real Estate Taxes	16,722	16,267	17,146	17,210	15,389	16,517	16,728	16,367	16,878	16,719	16,532	17,220	199,694
4490 Asset Management Fee	8,345	8,999	8,685	8,908	8,792	9,009	9,242	8,143	8,570	8,714	8,681	8,276	104,365
4500 Replacement Reserves	15,275	15,565	14,929	15,485	15,501	16,275	15,935	15,207	15,058	15,342	15,448	14,374	184,395
4510 Roof Repairs	14,910	15,988	15,851	14,578	15,597	15,906	14,003	15,288	15,390	15,405	15,664	14,949	183,528
4520 Parking Lot Repairs	10,615	10,968	11,137	10,708	10,622	10,911	11,153	10,682	10,816	10,953	11,148	11,912	131,626
4530 Signage	14,484	13,954	14,106	13,913	14,600	13,951	13,707	14,114	13,819	14,963	14,842	13,827	170,280
4540 Tenant Improvements	15,223	16,241	14,698	15,264	15,540	14,775	15,149	15,676	16,569	16,104	15,315	16,227	186,781
4550 Leasing Commissions	5,699	5,454	5,309	5,401	5,544	5,368	5,379	5,488	5,554	5,360	5,064	5,522	65,142
4000 Gross Potential Rent	169,764	185,072	170,367	188,379	179,066	183,683	175,975	177,618	179,324	193,241	169,563	172,007	2,144,058
4010 Loss to Lease	24,137	23,690	24,480	24,983	24,317	23,563	25,718	22,631	25,470	24,783	24,963	25,364	294,099
4020 Vacancy Loss	70,973	64,464	70,385	65,083	66,601	70,848	65,873	65,333	71,322	67,229	63,054	63,621	804,785
4030 Concessions	138,713	149,320	139,624	152,915	142,124	151,312	157,218	151,870	147,018	143,114	147,567	152,724	1,773,520
4040 Bad Debt	19,912	18,077	17,986	17,858	20,219	18,533	19,331	18,981	18,992	19,790	20,088	20,401	230,167
4050 Late Fees	136,374	130,356	135,065	136,531	135,569	137,330	134,541	137,866	145,323	129,706	141,658	133,146	1,633,463
4060 Utility Reimbursements	143,149	152,768	142,874	134,681	135,757	142,005	145,833	153,935	141,475	144,799	153,403	136,779	1,727,458
4070 Parking Income	98,488	94,498	95,396	106,452	101,749	101,289	95,886	106,869	102,593	101,973	106,509	104,255	1,215,957
4080 Application Fees	114,837	109,149	112,350	117,127	104,678	116,466	104,317	104,439	107,362	118,215	112,313	107,017	1,328,270
4090 Pet Rent	11,314	10,599	10,979	11,251	10,742	11,546	10,470	10,701	10,239	11,281	10,777	11,510	131,410
4100 Laundry Income	146,872	151,639	151,775	145,566	153,721	149,792	146,950	139,259	140,352	140,650	146,954	147,686	1,761,215
4110 Cable/Internet Revenue	130,108	122,124	134,918	126,352	120,064	133,427	127,316	122,343	125,180	136,309	132,890	120,227	1,531,258
4120 CAM Reimbursements	13,952	13,880	12,299	12,383	13,608	13,327	12,527	13,854	13,949	12,768	13,457	12,436	158,439
4130 Tax Reimbursements	31,339	32,176	29,064	29,332	30,422	29,599	32,388	32,121	32,795	32,713	29,100	32,142	373,190
4140 Insurance Reimbursemen	36,916	38,538	34,201	35,603	36,068	38,497	37,882	34,219	34,243	38,247	36,038	34,896	435,349
4150 Percentage Rent	160,818	157,488	160,936	144,810	143,563	148,708	153,262	140,510	157,952	146,557	158,606	141,658	1,814,868
4160 Misc. Income	166,480	159,844	171,551	154,389	160,443	171,880	160,392	153,177	158,271	165,989	151,026	170,143	1,943,584
4170 Payroll - Management	12,416	12,851	12,127	12,708	13,582	13,153	13,369	12,437	12,557	12,645	13,143	12,403	153,391
4180 Payroll - Leasing	6,565	6,849	6,780	6,552	7,201	6,648	6,496	6,688	7,049	6,643	7,233	6,681	81,384
4190 Payroll - Maintenance	7,737	7,478	6,994	7,891	7,477	7,013	7,266	7,508	7,959	7,391	7,737	7,733	90,184
4200 Payroll Taxes & Benefits	14,871	15,897	15,772	14,224	15,927	14,353	14,404	15,831	15,996	15,724	15,594	15,928	184,521
4210 Repairs - Plumbing	18,374	16,816	18,375	17,489	17,796	17,045	16,620	17,540	17,887	16,385	17,032	16,382	207,741
4220 Repairs - HVAC	3,278	3,179	3,263	3,213	3,631	3,284	3,365	3,177	3,540	3,580	3,536	3,493	40,538
4230 Repairs - Electrical	17,866	19,116	17,860	20,005	19,641	19,799	17,984	18,247	17,514	18,575	18,839	20,087	225,532
4240 Repairs - Appliances	6,497	5,899	6,415	6,191	6,438	6,129	6,226	5,917	6,147	6,429	6,568	5,773	74,628
4250 Painting & Decorating	15,750	15,568	15,606	17,176	16,996	17,372	16,361	16,718	16,316	17,122	17,400	16,232	198,619
4260 Flooring	19,205	18,608	20,183	18,284	20,191	19,129	18,214	20,615	20,454	19,230	19,251	18,111	231,476
4270 Make-Ready / Turnover	13,507	11,855	13,133	12,350	12,848	11,916	13,148	12,627	11,942	11,833	12,239	12,202	149,600
4280 Landscaping Contract	9,078	9,063	8,828	9,074	8,153	8,514	8,904	8,775	8,324	8,941	8,100	9,074	104,829
4290 Snow Removal	19,092	19,491	20,805	19,362	20,115	19,417	20,056	21,155	19,134	19,926	18,636	19,829	237,018
4300 Janitorial	10,357	10,244	10,749	10,737	10,757	9,595	10,756	10,379	9,682	10,866	10,073	10,722	124,916
4310 Pest Control	2,697	2,990	2,876	2,814	3,047	3,087	2,708	3,094	2,880	2,873	3,005	2,801	34,873
4320 Trash Removal	10,951	12,286	12,184	11,012	12,274	12,317	11,558	11,796	11,657	12,216	12,173	11,499	141,923
4330 Elevator Contract	2,322	2,155	2,311	2,164	2,313	2,185	2,105	2,204	2,357	2,363	2,215	2,165	26,860
4340 Fire & Life Safety	18,731	17,710	18,203	17,397	17,518	18,880	17,497	17,618	17,138	18,812	16,600	18,737	214,842
4350 Security	10,630	10,292	10,268	10,501	11,184	9,884	10,272	11,208	11,168	9,840	10,508	10,265	126,019
4360 Electricity - Common	8,547	9,207	8,174	8,876	8,814	8,420	9,051	8,948	8,395	8,156	8,668	8,369	103,625
4370 Gas - Common	22,807	20,985	20,244	21,893	22,772	20,250	20,821	21,578	21,302	22,028	21,080	20,825	256,585

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Summary and Notes

Income and Expense Review

Debt service coverage ratio was 7.49x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center. Operating expenses totaled $416,000 or approximately 46.75 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 8 years and in-place rents average $40 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses.

Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 7.15% reflects the in-place income and the stabilized occupancy assumption. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross. Effective gross income for the trailing period was $399,000, representing a 2.9% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center.

Property Operations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.4% of billed charges, with bad debt of 3.3% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 34 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Floor plates are efficient and column-spacing supports open and private-office layouts.

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